
☐ **Business Problem**

Banking Customer Risk Assessment

Financial institutions face increasing challenges in identifying customers who are likely to default on loans while maintaining profitability. Traditional risk assessment methods often fail to provide a comprehensive view of customer behavior, income, deposits, loans, and loyalty status, resulting in poor lending decisions and increased financial risk.

The bank needs a data-driven solution to:

- Identify customers with high credit risk.
- Understand how income, loyalty, and customer demographics influence risk.
- Detect customer segments requiring closer monitoring.
- Minimize loan defaults while maximizing profitable lending.
- Support management with real-time insights for strategic decision-making.

☐ **Project Objectives**

- Analyze customer risk levels across the banking portfolio.
- Identify key factors influencing customer risk.
- Evaluate financial exposure through loans and deposits.
- Segment customers by income, nationality, and loyalty.
- Recommend strategies to reduce risk and improve lending decisions.

☐ **Key Business Questions**

1. Which customers belong to the highest risk categories?
2. Does income level affect customer risk?
3. Which nationality contributes the most high-risk customers?
4. Are loyal customers generally lower risk?
5. Which customer segment should receive stricter credit monitoring?
6. How can the bank reduce future loan defaults?
7. Which customer groups offer the greatest opportunity for cross-selling and retention?

☐ **Expected Business Outcome**

- Reduce loan defaults through early risk identification.
 - Improve credit approval accuracy.
 - Optimize lending strategies using customer segmentation.
 - Increase customer retention with targeted loyalty programs.
 - Enable management to make faster, data-driven decisions using interactive dashboards.
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□ **Power BI Layout Suggestion**

Use four KPI cards across the top:

- **Business Problem**
- **Project Objective**
- **Key Questions**
- **Expected Outcome**

Below them, add two text boxes:

- **Current Challenges**
- **Recommended Analytical Approach**

This will make the first page of your portfolio dashboard look professional and clearly explain the business context before users explore the analysis.